Republic of the Philippines
CITY COUNCIL
City of Manila

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REGULAR SESSION NO. 190

12TH CITY COUNCIL

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Begun and held in the City Council on Tuesday,
the twentieth day of June, Two Thousand Twenty-Three

ORDINANCE NO. 9107

AN ORDINANCE PROHIBITING PRIVATE INDIVIDUALS, GOVERNMENT OFFICIALS AND WORKERS, GROUP OR BUSINESS ENTITIES, LOAN SHARK OPERATORS AND HOUSEHOLD BENEFICIARIES OF "PANTAWID PAMILYANG PILIPINO" IN USING OR ACCEPTING ISSUED 4Ps CASH CARD AS COLLATERAL FOR LOAN, PROVIDING PENALTY FOR VIOLATION THEREOF

PRINCIPAL AUTHORS:

HON. RUBEN F. BUENAVENTURA

HON. PAMELA "Fa" G. FUGOSO-PASCUAL

and

HON. ERNESTO C. ISIP, JR.
Majority Floor Leader

EXPLANATORY NOTE

The Bridging Program for the Filipino Family or "Pantawid Pamilyang Pilipino Program", also known as 4Ps is a conditional cash transfer program under the Department of Social Welfare and Development (DSWD), aims to eradicate extreme intergenerational poverty cycle that evolves to health, nutrition and education to the classified as the poorest among the poor households with children ranging from 18 years old and below in response to Sustainable Development Goals of the national government for a maximum of seven (7) years.

The program has focused on Sustainability of Social Assistance and Development that invests in human capability-building with cash provision assistance to help alleviate poverty. The Department of Social Welfare and Development (DSWD) has issued the Pantawid Pamilya Cash Card to qualified beneficiaries as a medium to extend government assistance through the "Pantawid Pamilyang Pilipino Program (4Ps)". The program targets at improving the state of education, health and nutrition of poor households, those with children aged 0-18 years old.

The City of Manila has a total of 34,799 (from 3,621,833) Registered and Active Beneficiaries in the National Capital Region (NCR) as of December 31, 2024. Out of the 34, 799 beneficiaries, recorded and identified composition of 242 have been engaged in cash card pawning except for the unreported or unverified.

The acts of pawning 4Ps cash cards only sabotage and weaken the purpose and objective, leaving the beneficiaries burdensome facing huge challenges to improve financial breakthrough.

The Local Advisory Council (LAC) initially conducted an assessment and verification process such as validating and confirming reports in pawning cases as these may lead to further steps, establishing basis to create appropriate and applicable course of actions that address possible reasons and cause of doing such act by the beneficiaries and providing other means and/or alternative solutions of preventive measures for its discontinued practice.

The DSWD through the National Advisory Council (NAC) Resolution No. 20, Series of 2014, has conveyed clearly the implementing procedures and guidelines in cases of Cash Card Pawning wrongdoings with corresponding appropriate sanctions based on the merit and gravity of the case.

The Ordinance is necessary to determine and prevent the recurrence of 4Ps Cash Card Pawning incidents. With its passing and approval, the target to expose the root cause that greatly contributes to the incidents may be prevented, lessen and resolved to non-existence in the future. This will also help to enforce sanctions and penalties to whoever will tolerate and engage of this malpractice.

The relevance and essence to institutionalize a Task Force to address issues and to put an end to the negative effects of the illegal pawning activities being unable to access their grants and falling into debt traps due to high loan interest rates.

RUBEN F. BUENAVENTURA
Councilor, 2nd District
Manila

Be it ordained by the City Council of Manila, in session assembled, *THAT*:

SECTION 1. Title. – This Ordinance shall be known as "AN ORDINANCE PROHIBITING PRIVATE INDIVIDUALS, GOVERNMENT OFFICIALS AND WORKERS, GROUP OR BUSINESS ENTITIES, LOAN SHARK OPERATORS AND HOUSEHOLD BENEFICIARIES OF PANTAWID PAMILYANG PILIPINO IN USING OR ACCEPTING ISSUED 4PS CASH CARD AS COLLATERAL FOR LOAN, PROVIDING PENALTY FOR VIOLATION THEREOF".

SEC. 2. Declaration of Policy. – It is hereby the policy of the City of Manila to protect and uphold the rights and best interests of its citizens including the vulnerability of the underprivileged from the mischievous individuals who are devouring and taking advantage of the unfortunate situation of the indigent beneficiaries of our government's "Pantawid Pamilyang Pilipino Program (4Ps)" by means of a loan grant cash cards serves as an assurance or collateral. It is also the policy of the City to protect its inhabitants nevertheless, help the national government in annihilating undesirable household beneficiaries from the program.

SEC. 3. Objectives. – This Ordinance aspires to reach and achieve the following objectives:

1. To resolve the misapplication and abuse of Pantawid Pamilyang Pilipino Program (4Ps) cash cards in the City of Manila;
2. To penalize 4Ps beneficiaries in the City who shall pawn their cash cards for a loan to any lenders may it be agencies, institutions or private money lender individuals; and
3. To penalize government officials and workers, private groups or business entities and other form of loan shark operators who are accepting or requiring 4Ps Cash Cards as collateral.

SEC. 4. Definition of Terms. –

a. 4Ps - also known as "Pantawid Pamilyang Pilipino Program" or "The Bridging Program" is a conditional cash transfer program of the national government under the Department of Social Welfare and Development (DSWD) that aims to eradicate extreme intergenerational poverty cycle that evolves to health, nutrition and education to the classified as the poorest among the poor households with children ranging from 18 years old and below in response to Sustainable Development Goals of the national government.
b. Beneficiaries - refers to active households or families within the city duly registered in "Pantawid Pamilyang Pilipino Program".
c. Business Entities - various establishments such as supermarkets, cooperatives, stores, banks, lending institutions and other same business premises.
d. Cash Card - electronic payment automated teller machine card issued by the government used to extend financial assistance to 4Ps beneficiaries.
e. Cash Card Pawning - an act of giving the 4Ps Cash Card to a loan shark, private individuals, government officials and workers, group or business entities as collateral or security for credit, money borrowed or loan.
f. Collateral - any security provided by a borrower to guarantee repayment of loan/debt as pertaining to the 4Ps Cash Cards.
g. Conditional Cash Transfer - is a monetary grant released to 4Ps beneficiaries by the national government thru DSWD with a condition of compliance to the monthly obligation set by the program.

h. DSWD - Department of Social Welfare and Development is the executive department of the government responsible for the protection of the social welfare of rights of Filipino and to promote social development that aims to alleviate and diminish hunger and poverty, equal access to opportunities, enabled by a fair, just and peaceful society.
i. Government Officials and Workers - an individual working in public office (managerial or rank-in-file) and/or any individual elected or appointed in public office with any rank and position.
j. Grievance Redness System - grievance committee system that receives complaints on Cash Card Pawnings, use for gambling, loan collateral, repayment or any form of misrepresentation.
k. Group - any association, organization or number of persons considered as collective unit.
l. Intergenerational Poverty Cycle - IGP described as poverty persists from one generation to next or cycle of poverty that repeats from generation to generation.
m. LAC - Local Advisory Council is a body wherein strategies on poverty alleviation, social welfare, development and protection are being monitored and discussed.
n. Loan Shark - is a person or entity that offers loan with high interest rates, exceeding legal limits and typically engages in predatory lending practices. Borrowers who resort to loan sharks often find themselves trapped in a cycle of debt. Operating outside bonds of law with intimidation, force repayment and threats.
o. NAC - National Advisory Committee is the highest policy-making inter-agency body that provides policy directions and guidance on matters pertaining to "Pantawid Pamilyang Pilipino Program" implementation.
p. NAC 20 - National Advisory Committee of 2014 - procedures and guidelines on misdemeanor cases to the approved policy misbehavior of the beneficiaries, as stipulated on NAC 2 and 10.
q. NCR - National Capital Region, also known as the capital region of the Philippines.
r. Non- 4Ps Beneficiary - Pantawid Pamilyang Pilipino non-member.
s. Poorest Among the Poor - an individual, who lived below the poverty threshold, has very limited or none access to sufficiently meet basic needs of the society.
t. Poverty Alleviation Strategy - National poverty reduction strategy thru cash provision assistance for the sustainability of social assistance and social development that enable 4Ps households with children ranging from zero to eighteen (0-18) years old investing in human capability-building that improves the state of education, health and nutrition.
u. Private Individual - a person who is not a government employee or official and not a beneficiary of a particular program.

SEC. 5. Prohibited Acts. –

1. It shall be unlawful for any 4Ps household beneficiaries or any member of the families to use and engage in Cash Card Pawning as stipulated in NAC Resolution No. 20 of the "Pantawid Pamilyang Pilipino Program (4Ps)".
2. It shall be considered unlawful for any individual, group or business establishments, loan shark operators to use or accept 4Ps Cash Cards as loan collaterals.
3. Pawning of 4Ps Cash Cards used as collateral for loan procurement, repayment, settlement of financial obligations, gambling or barter in exchange of any illegal substances, liquor and other services.

SEC. 6. Coverage. –

1. 4Ps Household Beneficiaries and its relatives up to the third (3d) civil degree of consanguinity of affinity and/or a representative equipped with duly notarized SPA (Special Power of Attorney) who may be holding the Cash Card in behalf of the beneficiary.
2. 4Ps non-beneficiaries consisting of Private Individuals, Group or Business Entities, Loan Shark Operators, Associations, Cooperatives and the like requiring Cash Cards as collateral for loan.

SEC. 7. Penalty Clause. – For "Pantawid Pamilyang Pilipino Program" beneficiaries found violating this ordinance, shall be penalized as follows:

1. For Household Beneficiaries and the same –

   a. First Offense - Counseling by the City Link with written warning from the Head of the City Operations Office and blocking of Cash Card Account and counseling of Social Worker from the City Social Welfare and Development Office;

   b. Second Offense - Counseling by the Social Welfare Officer from the DSWD-NCR and City Social Welfare and Development Office, a written warning from the Regional Director while the grant of the inappropriate households shall be suspended / will not be released for one (1) payment or for period of two (2) months and a fine of Three Thousand Pesos (PhP3,000); and

   c. Third Offense - Non-appealable delisting of the inappropriate household under the Grievance Redness System (GRS) Fraud duly verified and approved by the Regional Director and tagging to be facilitated by the Regional Grievance Coordinators.

2. For "Pantawid Pamilyang Pilipino Program" Non-Beneficiaries Lenders - private individuals, government officials and workers, group or business entities, loan shark operators, collectors, money lenders or financiers found violating this Ordinance, shall be penalized as follows:

   a. First Offense - Written Notice shall be issued by the Local Advisory Council (LAC) to the private individual, group or business entities, loan shark operators, collectors, money lenders or financiers duly acknowledged by the Pawner and Pawnee and Two Thousand Pesos (PhP2,000.00) fine for every Cash Card they are holding and/or imprisonment of two (2) months upon the discretion of the court that shall be imposed for the violation of this Ordinance payable to the City Treasurer's Office and/or suspension of business permit. However, a written endorsement to the Head Office by the LAC (if government official/employee) with attachment to individual service record shall be made.

   b. Second Offense - A fine of Three Thousand Pesos (PhP3,000.00) and/or imprisonment of five (5) months upon the discretion of the court that shall be imposed for the violation of this Ordinance payable to the City Treasurer's Office and/or suspension of business permit. However, a written endorsement to the Head Office by the LAC (if government official/employee) with attachment to individual service record shall be made.

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c. Third Offense - A fine of Five Thousand Pesos (PhP5,000.00) and/or imprisonment of twelve (12) months or one (1) year upon the discretion of the court that shall be imposed for the violation of this Ordinance payable to the City Treasurer's Office and/or suspension of business permit. However, a written endorsement to the Head Office by the LAC (if government official/employee) with attachment to individual service record shall be made.

3. For Non-Residents of City of Manila - Endorsement by the Local Advisory Council (LAC) to concerned agencies for proper disposition in reference to the preceding section hereof.

SEC. 8. Enforcement Structure. – The Local Advisory Council shall be created to spearhead the implementation of this Ordinance, to wit:

Chairperson : City Mayor
Vice Chairperson : City Social Welfare and Development Officer
Members : Department of the Interior and Local Government (DILG)
City Health Officer
Department of Education (DepEd)
Philippine National Police (PNP)
President of Liga ng mga Barangay

SEC. 9. Enforcement Procedures. –

1. Any report concerning violations of this Ordinance originating from the field shall undergo thorough verification by the officially designated City Link. Subsequently, such reports must be confirmed by the Grievance Coordinators affiliated with the program.
2. Upon verification and confirmation, a formal written report shall be submitted to the Local Advisory Council (LAC) for appropriate action.
3. The Local Advisory Council (LAC) shall duly convene and establish a validation team with the responsibility to meticulously scrutinize and authenticate the formal reports emanating from the field by substantiating them with irrefutable facts and concrete evidentiary support;
4. The validating team shall make a report with corresponding recommendation/s which shall be submitted to the Local Advisory Council (LAC) for appropriate action.
5. The Department of the Interior and Local Government (DILG) and the Philippine National Police (PNP) shall extend their full support, cooperation and assistance in terms of enforcement and implementation of the pawning ordinance.

SEC. 10. Disposition of Fines. – All fines collected in the enforcement of this Ordinance shall be deposited into a Trust Fund of the respective Local Government Unit/s (LGUs). Said funds shall be allocated for the implementation of programs and activities related to "Pantawid Pamilyang Pilipino Program (4Ps)", subject to standard auditing and accounting rules and procedures.

SEC. 11. Separability Clause. – In the event that any provision of this Ordinance is deemed unconstitutional and/or illegal by competent authority, such a declaration shall not impair the validity or enforceability of the remaining provisions herein. Consequently, the unaffected provisions shall remain in full force and effect.

SEC. 12. Repealing Clause. – Any ordinance found to be inconsistent with the provisions of this ordinance is hereby repealed, modified, or amended accordingly to ensure alignment and compliance with the current legislative framework.

SEC. 13. Effectivity Clause. – This Ordinance shall come into effect immediately upon its approval and upon compliance with the requisite posting and publication requirements as prescribed by law.

This Ordinance was finally enacted by the City Council of Manila on March 18, 2025.

PRESIDED BY:

JOHN MARVIN C. "Yul Servo" NIETO
Vice-Mayor and Presiding Officer
City Council, Manila

ATTESTED:

LUCH R. GEMPIS, JR.
City Government Department Head III
(Secretary to the City Council)

APPROVED BY HER HONOR, THE MAYOR, ON APR 11 2025.

MARIA SHEILAH "Honey" H. LACUNA-PANGAN, MD, FPDS
Mayor
City of Manila

ATTESTED:

ATTY. MARLON M. LACSON
City Government Department Head III
(Secretary to the Mayor)

JMG:jhb/rmd/agv/egv/jrp